OPEN LETTER · EYE ON SHOALHAVEN COUNCIL

Steve Prothero asks Council why land-sale and grant decisions bypassed scrutiny

Sent 28 July 2026 · To Shoalhaven City Council, Mayor White · Response requested by 18 August 2026

OPEN LETTER TO SHOALHAVEN CITY COUNCIL

To: Mayor Patricia White and CEO Andrew Constance
Subject: Land sales, altered recommendations, financial claims and the removal of public scrutiny

Dear Mayor White and Mr Constance,

The decisions arising from Council's 28 July 2026 business paper raise questions that deserve direct, factual answers.

These questions concern the treatment of different community assets, the value of previous council resolutions, the accuracy of reports placed before councillors, the integrity of independent assessment processes, the intended use of land-sale proceeds and the scheduling of decisions affecting the public's right to participate.

I ask that the Mayor answer those questions concerning political leadership, chairing of meetings and decisions of the governing body, and that the CEO answer those concerning report preparation, staff advice, finances and administrative process.

Questions for the Mayor

1. **Why was only one site spared?**

Why was the only site removed or deferred from the bundled land-sale proposal the one advocated for by a delegation that included a member of the Mayor's Finance and Infrastructure Review Panel?

What consideration did that site receive that was not extended to properties associated with services for homeless people, young people and children with disability?

Did the Mayor have any discussions, before or during the meeting, with members of the Finance and Infrastructure Review Panel concerning that property?

How does the Mayor explain the apparent difference in treatment to the organisations and communities whose requests for deferral were refused?

This question does not allege that any person acted improperly. It asks why one delegation succeeded while other groups presenting serious social and community consequences did not.

1. **What is a council resolution worth?**

Depot Beach residents told Council that the proposed sale had already been considered repeatedly.

Council resolved in June 2025 to exclude the land from its land-sale strategy. A subsequent attempt to reverse that decision was defeated. Residents say Council later confirmed in writing that the site had been excluded.

Why was the property returned for another decision approximately 12 months later?

What materially new evidence justified reopening the issue?

Does the Mayor accept that repeatedly returning a defeated proposal can exhaust residents and diminish confidence in council resolutions?

Will the Mayor support a rule requiring any report that revives a previously rejected proposal to clearly identify:

the earlier resolutions;
the written advice given to residents;
the new evidence relied upon; and
the reasons the previous decision should no longer stand?
3. Why did the Green Street vote proceed?

The original report concerning 158 Green Street described the property as being used for a commercial childcare facility.

Noah's Inclusion Services told Council that this was incorrect. It is a registered charity and not-for-profit organisation providing disability, family-support and early-intervention services, and it does not operate a commercial childcare facility from the site. The organisation also said the building had been created through a longstanding partnership involving substantial Commonwealth and Council funding.

Once the stated rationale was shown to be wrong, why did the Mayor allow the matter to proceed on its original timetable?

Why was the proposal not deferred so that councillors could receive a corrected report and Noah's, service users and the wider community could be consulted on the accurate facts?

Does the Mayor accept that an apology and an amendment made during the meeting are not equivalent to receiving a properly researched report before the meeting?

1. **Why was the independent grants panel overridden?**

Council altered the recommendations of its independent Community Wellbeing Grants panel through a floor amendment that removed funding from one organisation and redirected funding to another.

On what basis did councillors override the panel's assessment in both directions through a single amendment?

What additional evidence was available to councillors that had not been considered by the panel?

Were the affected applicants given any opportunity to respond to the claims made about them during the debate?

Does the Mayor accept that changing grant results from the floor, without a documented reassessment against the published criteria, risks undermining confidence in the entire process?

What should future applicants now believe:

that success depends upon satisfying the published criteria and independent panel, or upon securing political support in the chamber?

1. Why was the remaining business scheduled for a weekday morning?

Why was the second half of the business paper—including the proposed removal of the public's guaranteed right to comment before final land-disposal decisions—scheduled for 9.30 am on a weekday?

Was the Mayor warned that the public gallery was likely to be empty at that time?

If so, why was that warning disregarded?

Why was a policy reducing public participation considered at a time when working residents, carers and many community representatives would find attendance difficult?

Will the Mayor support reconsideration of the land-disposal policy at an evening meeting after proper public exhibition?

Questions for the CEO

1. Who cleared the incorrect Green Street report?

How did the claim that 158 Green Street was being used as a commercial childcare facility enter the report?

Who checked and approved that statement?

What records were reviewed concerning:

Noah's legal status;
the nature of the services operating from the site;
the lease;
the original development and funding arrangements;

the Commonwealth contribution secured by Noah's; and
the continuing community purpose of the facility?
Why was Noah's not directly consulted before the report was published?

When was the error identified, and when were councillors first advised?

Why did the executive-clearance process fail to identify an error that went directly to the rationale for reclassification?

1. **Why was the matter not withdrawn?**

Once the report's central description was found to be wrong, what advice did the CEO give the Mayor and councillors about deferral?

Did the CEO recommend withdrawing the property from the report until corrected information and proper consultation could be completed?

If not, why not?

What confidence could councillors reasonably place in the remainder of the property report once one important site description had been shown to be materially inaccurate?

Were all other property descriptions then independently checked? What was the result?

1. **How was the land-sale bundle assembled?**

What objective criteria were used to place each property into CL26.157?

For each site, will the CEO publish:

the current classification and use;
tenants and regular users;
previous council resolutions;
original acquisition or construction funding;
consultation undertaken;
public submissions received;
strategic reasons for retention;
expected sale value;
cost of preparing the property for sale; and
the reasons sale was judged preferable to retention?
Why were properties with substantially different social, environmental, access and planning implications presented as one package?

1. **How much of the sale revenue will renew assets?**

Council allocated $1.43 million to facilitate a target of $14.4 million in land-sale revenue, with a projected net return of approximately $12.97 million. The report stated that the

proceeds had not been allocated to operating or capital expenditure in the 2026–27 budget.

How much of the eventual sale proceeds will be formally restricted to asset renewal?

How much may be used to support the general bottom line, liquidity or other financial indicators?

Will the proceeds be placed in a dedicated reserve?

What rules will govern withdrawals from that reserve?

Will Council publish a property-by-property account showing:

gross proceeds;
agent, legal, planning and preparation costs;
net proceeds;
destination of the funds; and
the assets renewed or debts reduced with those proceeds?
5. How do advance grants affect the claimed financial position?

Council's June investment position included approximately $13 million in advance Financial Assistance Grant payments.

How has that advance affected the reported cash and investment balance?

What would Council's year-end financial position have been without the advance payment?

Has Council clearly separated recurring underlying performance from the temporary effect of receiving future grant revenue early?

How much of the apparent improvement in the bottom line reflects genuine structural improvement, and how much reflects timing?

Will the CEO publish an adjusted financial presentation showing the position without the advance payment?

1. **Why remove the guaranteed right to comment?**

The revised POL25/29 removes the existing general provision for public comment before final land-disposal decisions and replaces it with a requirement to consider community interests. Council's report says deputations and statutory processes provide adequate opportunities for input.

Why was this significant reduction in procedural protection described as policy consolidation?

Who proposed removing the express public-comment provision?

What legal, governance or community-engagement advice supported that change?

What evidence shows that a five-minute deputation after a recommendation has been written is an adequate substitute for consultation before the recommendation is settled?

How will residents prove that their interests were not properly considered when the policy no longer requires Council to ask them?

1. What supervision is being applied to directors?

What instructions have been issued to directors about directly consulting people and organisations affected by pending recommendations?

Does the CEO require directors to verify the factual history of community properties before recommending reclassification or sale?

Does executive clearance require confirmation that tenants, grant contributors, adjoining owners and regular users have been contacted?

What consequences follow when a director-approved report materially misstates the status or activities of an affected organisation?

The public does not need the CEO merely to apologise after a defective report reaches the chamber.

It needs the CEO to ensure that the reports are accurate, the directors are supervised and the affected community is properly engaged before councillors are asked to vote.

Requested response

I ask that:

the Mayor provide a written response to the questions directed to the Mayor;
the CEO provide a written response to the questions directed to the CEO;
each question be answered individually rather than through a general statement; and
the responses identify any documents relied upon.
The questions are specific because the issues are serious.

Public land should not be sold through a process that residents cannot follow, previous resolutions should not be treated as temporary inconveniences, independent assessments should not be casually rewritten from the floor, and inaccurate reports should not proceed simply because they have already reached the agenda.

These are public decisions involving public assets.

The public deserves straight answers.

Yours sincerely,

Steve Prothero
Editor and Publisher
Eye on Shoalhaven
